

Cyber Coverage Exclusions

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Cyber liability policies exclude losses arising from acts of war or state-sponsored cyberattacks, unencrypted portable devices reported lost or stolen more than 30 days before a breach is disclosed, and failure to apply critical security patches within 90 days of release. Coverage is also excluded where the insured knowingly misrepresented their security posture on the application. The policy does not cover contractual liability assumed beyond what the insured would owe under common law. Bodily injury or property damage arising from a cyber event is covered only if a separate endorsement is in force at the time of loss. Insureds must notify the carrier within 72 hours of discovering a security incident that could reasonably lead to a claim, regardless of whether a formal breach determination has been made. Forensic investigation costs are covered only when the vendor is selected from the carrier's approved panel unless prior written consent is obtained for an alternate vendor. Ransom payments are covered subject to a sublimit of \$250,000 and only after consultation with the carrier's designated negotiation firm. Regulatory fines and penalties are covered only to the extent insurable under the law of the jurisdiction imposing them. Notification costs to affected individuals are subject to the policy's aggregate limit and are not provided on a first-dollar basis. Systemic events affecting a major cloud provider or managed service provider used by more than 10,000 policyholders simultaneously are subject to a separate aggregate cap across all affected insureds, applied on a pro-rata basis if claims exceed that cap. Coverage territory is limited to incidents discovered and first reported during the policy period, regardless of when the underlying vulnerability was introduced. Losses arising from cryptocurrency theft are excluded unless the insured carries a specific digital asset endorsement with its own sublimit. Vendor and supply-chain incidents are covered only when the insured can demonstrate a signed data processing agreement with the vendor was in force at the time of the incident. Social engineering and invoice fraud losses are subject to a reduced sublimit of \$100,000 and require a documented callback verification procedure to have been in place at the time of the loss for coverage to apply. Prior acts coverage is excluded for any incident where the vulnerability exploited was known to the insured's IT staff more than 12 months before the policy's retroactive date. Coverage for third-party liability arising from a breach at a payment processor is excluded unless the insured maintains current PCI-DSS compliance certification on file with the carrier. Business interruption from a cyber event is measured from the end of a 12-hour waiting period and is capped at the lesser of the policy sublimit or 180 days of lost income. Insureds operating industrial control systems or SCADA environments are excluded from standard cyber coverage entirely and must be underwritten through the carrier's critical infrastructure program. Multi-factor authentication is a condition of coverage for all remote administrative access; a breach traced to an account without multi-factor authentication enabled may result in a reduced claim payment proportional to the carrier's increased loss exposure from that gap. Coverage is written on a claims-made and reported basis; an incident must both occur and be reported to the carrier during the same policy period, or during an applicable extended reporting period, for coverage to apply. Extended reporting periods of up to 12 months are available for purchase within 30 days of non-renewal, but are not automatically included. Panel counsel must be engaged for any incident involving more than

5,000 affected records, and legal fees incurred using non-panel counsel without prior written consent are reimbursed only up to the rate the carrier would have paid its own panel counsel. Media liability coverage for defamation or intellectual property infringement arising from the insured's website or social media content is included only up to a \$250,000 sublimit within the broader cyber policy. Bricking coverage, for hardware rendered permanently inoperable by a cyberattack, is excluded unless specifically added by endorsement with its own separate sublimit and deductible.